ABSTRACT

This paper explores the comparative dynamics of Cash on Delivery (COD) and Prepaid Orders in the context of e-commerce and retail businesses. COD, a payment method where customers pay upon receiving the product, has been widely adopted in emerging markets due to lower trust in online transactions and limited access to digital payment systems. Prepaid orders, on the other hand, involve payment in advance through online or offline methods and are more common in mature digital markets.

The study analyzes various factors including consumer behavior, operational efficiency, return rates, fraud risk, and cash flow implications. While COD offers greater customer confidence and potentially increases sales volume, it comes with higher risks of product returns, logistics complications, and delayed revenue realization. Prepaid orders improve working capital management and reduce delivery failures but may deter new customers due to perceived risk or lack of trust.

Ultimately, the choice between COD and prepaid models depends on market maturity, consumer preferences, and the company's risk tolerance. Many businesses adopt a hybrid approach, offering both options to maximize reach and flexibility.

Sneha

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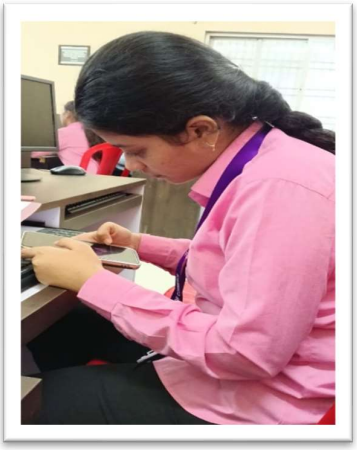
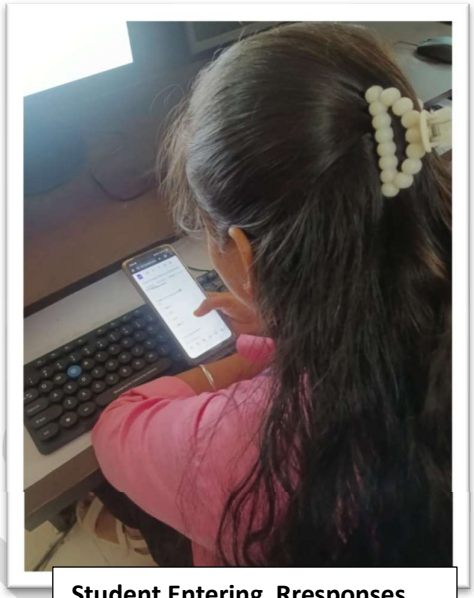


Individual Response On Google Form



Student Entering Rresponses

Participants Completing Survey

Group Filling Survey Form

Students filling google from app together.

Chapter 1: Introduction

In recent years, the growth of e-commerce has transformed the way consumers shop, with convenience, variety, and accessibility playing central roles in influencing purchase behavior. However, one of the most critical factors that continues to shape online buying decisions is **customer trust**, especially in relation to the **mode of payment**. Trust becomes particularly significant when customers are required to pay in advance (prepaid orders) versus paying upon receipt of goods (cash on delivery).

In many developing markets, **Cash on Delivery (COD)** remains a dominant payment method, primarily due to concerns about product authenticity, fear of online fraud, lack of trust in sellers, and the sperceived risk of non-delivery. On the other hand, **prepaid orders**—which include credit/debit card payments, mobile wallets, and bank transfers—are often associated with greater operational efficiency for sellers but tend to require a higher level of trust from buyers.

e-commerce and the increasing availability of secure digital payment systems, many consumers still prefer **Cash on Delivery (COD)** over **prepaid payment methods** when shopping online. This preference highlights a persistent issue of **customer trust** in online transactions, particularly regarding the safety, reliability, and accountability of prepaid systems.

While COD offers customers a sense of control and assurance—allowing them to inspect the product before making payment—it presents significant logistical, financial, and operational challenges for e-commerce businesses. Conversely, prepaid orders streamline operations and reduce the risk of order rejection or fake bookings, but they rely heavily on the consumer's trust in the seller and the overall system.

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Chapter 2: Literature Review

Since 2025

[PDF] PRE-PAID BILLING SYSTEM STRATEGY AND SERVICE DELIVERY BY KENYA POWER AND LIGHTING COMPANY LIMITED, UASIN GISHU COUNTY …

KV KIPROP - 2025 - ir-library.ku.ac.ke

Since 2023

mpact of COVID-19 on the drivers of cash-based online transactions and consumer behaviour: evidence from a Muslim market

F Khan, S Ateeq, M Ali, N Butt - Journal of Islamic Marketing, 2023 - emerald.com

Since 2021

Critical factors influencing online consumer preference towards cash on delivery method in Sri Lanka

N Karunarathna - 2021 - rda.sliit.lk

SORT BY RELEVANCE

[PDF] PRE-PAID BILLING SYSTEM STRATEGY AND SERVICE DELIVERY BY KENYA POWER AND LIGHTING COMPANY LIMITED, UASIN GISHU COUNTY …

KV KIPROP - 2025 - ir-library.ku.ac.ke

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Chapter 3:Methodology

3.1 Research Method:

This study utilizes a quantitative research design with **a descriptive and comparative approach.** The purpose is to measure and compare the level of customer trust in **Cash on Delivery (COD)** and **Prepaid Orders,** and to identify the key factors that influence trust in each payment method within the context of online shopping.

3.2 Tools used:

The primary tool for data collection will be a **structured questionnaire** designed to capture customer trust levels regarding Cash on Delivery and Prepaid Orders.

The questionnaire will include:

- Demographic questions (age, gender, income, education)
- Questions on online shopping behavior and payment preferences
- Likert-scale items measuring trust dimensions such as security, reliability, perceived risk, satisfaction, and past experience.

The questionnaire will be distributed electronically via platforms like **Google Forms**, **Microsoft Forms**, or other online survey tools.

3.3 sample size:

The sample size for this study consisted of 27 **participants** who responded to the online questionnaire. These respondents came from various age groups, educational backgrounds, and professions, including students, employees, and others. This diverse sample helped provide a broader understanding of users' awareness related to online shopping.

3.4 Sampling Method:

This study used a combination of **Convenience Sampling** and **Snowball Sampling** methods. The online survey (Google Form) was initially shared with easily accessible participants such as **friends, family members, and classmates**, making it a **convenience sample**. In addition, participants were encouraged to forward the form to others in their network, which allowed the sample size to grow through **snowball sampling**.

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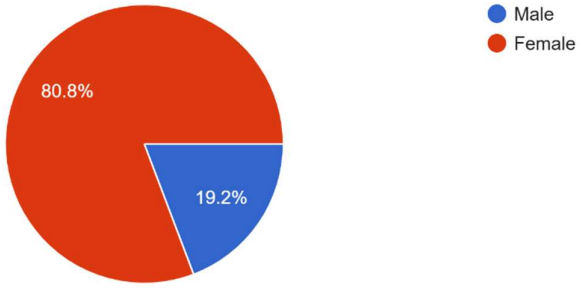
3.5 DataAnalysis:

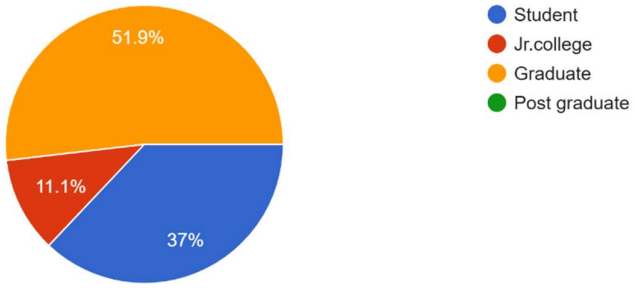
Gender

26 responses



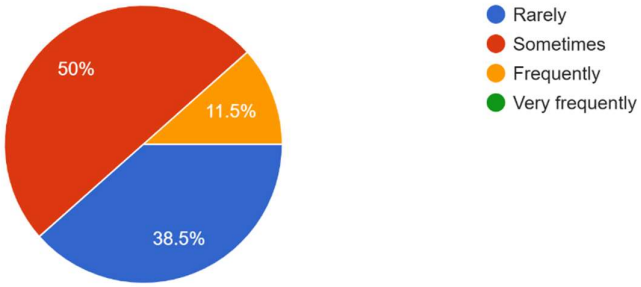
Education level

27 responses



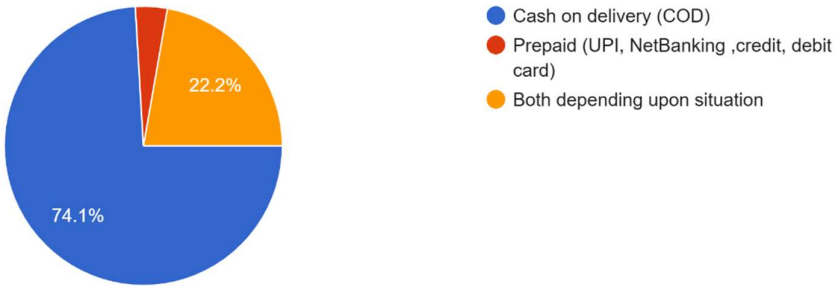
How often do you shop online...?

26 responses



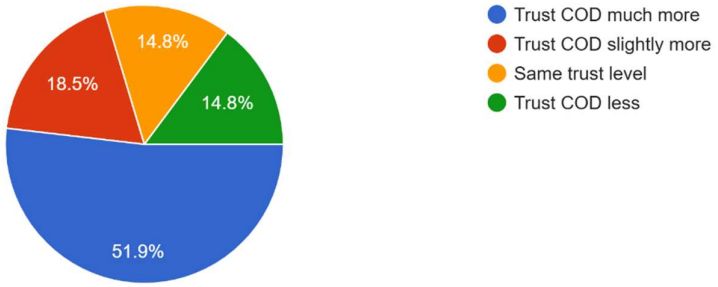
Which mode of payment do you usually prefer...?

27 responses



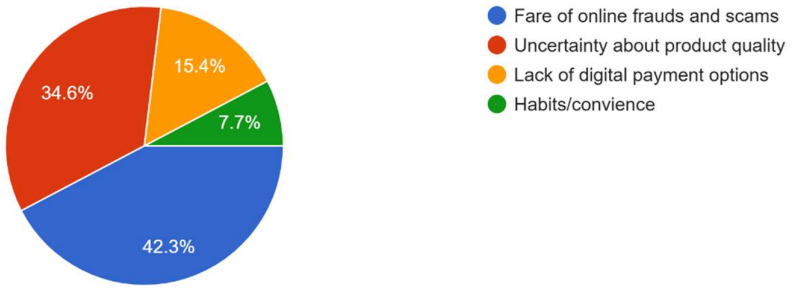
How much do you trust on COD orders compared to prepaid orders...?

27 responses



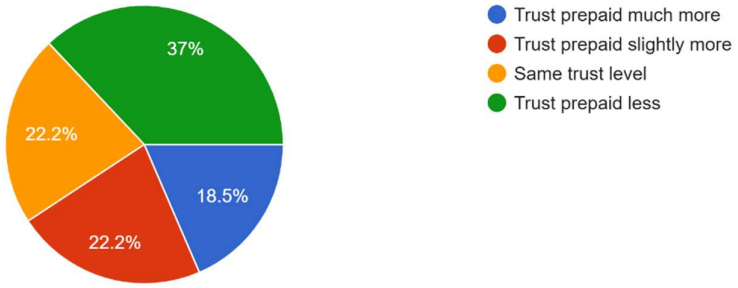
What are your main reasons for choosing COD..?

26 responses



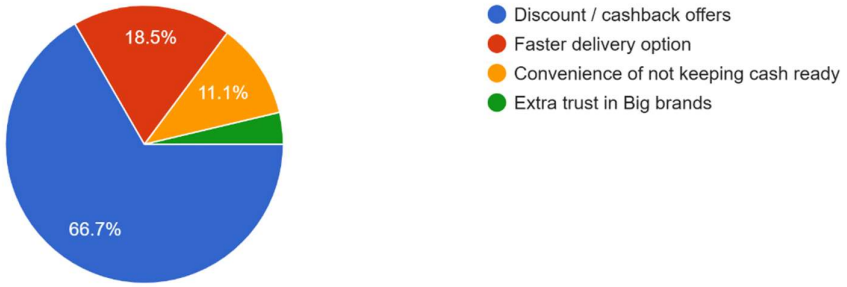
How much do you trust prepaid orders compared to COD...?

27 responses



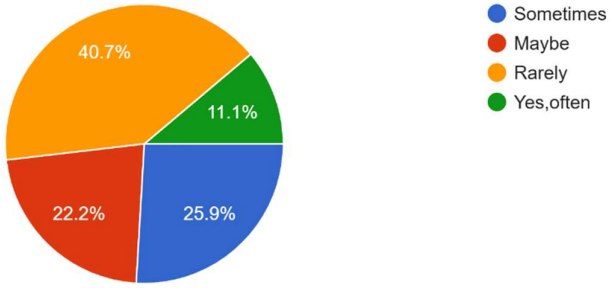
What encourages you to choose prepaid orders....?

27 responses



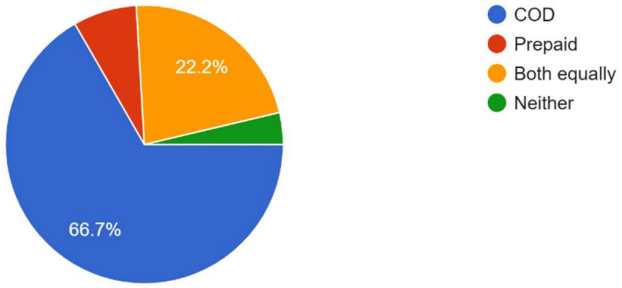
Have you ever faced issues with prepaid orders..?

27 responses



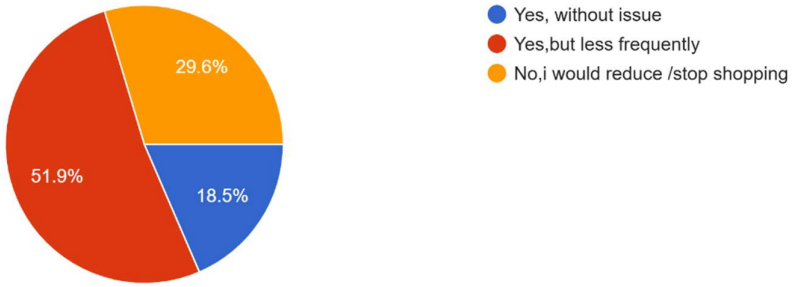
Which payment method do you trust more overall...?

27 responses



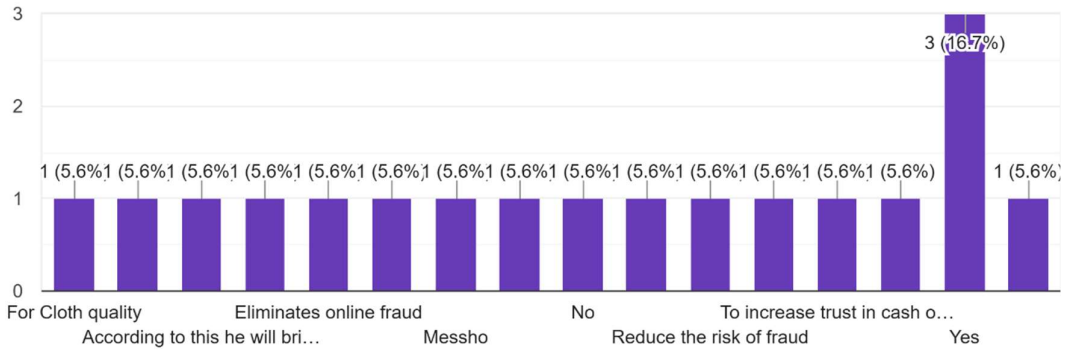
If COD was removed as an option, would you still shop online from the same platform...?

27 responses



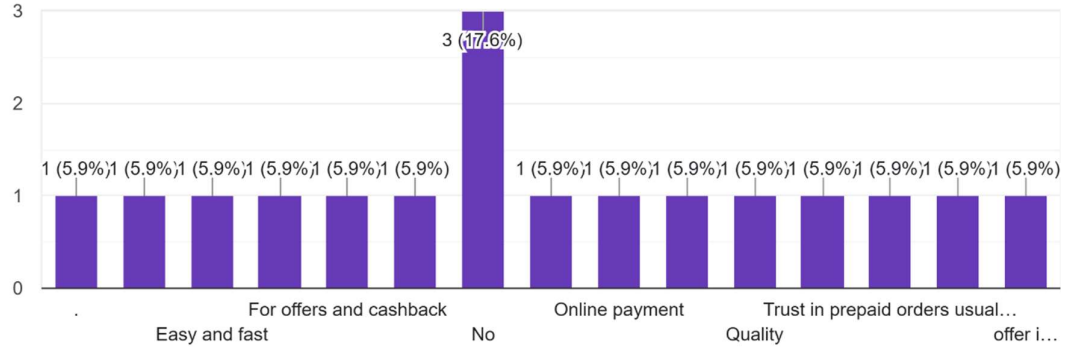
What would increase your trust in cash on delivery...?

18 responses



What would increase your trust in prepaid orders...?

17 responses



Chapter 4:Field Work Description,Observation and Analysis

4.1 Field Work Description

For this study, data was collected through an **online survey** designed to assess users' awareness of online shopping. The survey was created using[https://docs.google.com/forms/d/1BITDdLU06EljMjxFRGXg1poTwvubCeEvYfMoZFcoY8c/edit?pli=1#responses u sp=header Google Form], and a structured questionnaire was developed, consisting of both multiple-choice and short-answer questions. The questionnaire covered topics such as types of online payments used, understanding of security measures, experiences with online fraud, and general digital payment habits.

4.2 Observations

The online survey received a good number of responses within the set time frame. Most participants completed all questions, and responses were collected mainly from urban users aged between 18 and 30 years.

While many users were aware of basic safety measures (like OTPs and not sharing passwords), fewer knew about advanced security practices such as two-factor authentication

4.3 Analysis:

The survey shows that most respondents are students aged 18-25,making them the primary users of online payments.Customer trust is a crucial factor influencing the payment method choice in e-commerce, primarily between Cash on Delivery (COD) and prepaid orders. COD is often preferred by customers who are hesitant to pay upfront due to concerns about product quality, delivery reliability, or potential fraud. It provides a sense of security, allowing customers to inspect the product before making payment, Regions with lower digital payment penetration

Chapter5:Conclusion and Recommendation

5.1 Conclusion:

The study reveals that customer trust plays a crucial role in the choice between cash on delivery and prepaid orders. While cash on delivery often builds confidence by allowing payment upon receipt, prepaid orders are preferred for their convenience and faster processing. Understanding these trust factors helps businesses tailor payment options to enhance customer satisfaction and boost sales.

5.2 Recommendations:

1. improve transparency by clearly outlining return, refund, and cancellation policies.
2. Enhance delivery reliability to build confidence in COD transactions.
3. Implement secure and user-friendly prepaid payment systems.
4. Offer incentives such as discounts or loyalty programs to encourage prepaid orders.
5. Regularly collect customer feedback to identify and address trust-related concerns.

Sneha

References

References from our conversations

Primary source

Chatgpt: https://chatgpt.com

Google Scholars: https://scholar.google.com

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APPEDICES

Appendix A- Guide Interaction Diary

FORM

I,the undersigned Ms. Goli Sneha naresh Roll No.11 studying in the **2025-26** Year of Customer Trust in cash on delivery vs prepaid orders Fulltime Course is doing my project work under the guidance of Ms. Ansari Nusrat, wish to state that I have met my Internal guide on the following dates mentioned below for Project Guidance:-

Sr.No.	Date Signature of	Date Signature of
1	4th September 2025	
2	12th September 2025	
3	17th September 2025	
4	19th September	
5	20th September 2025	
6	24th September 2025	

Signature of the candidate

Signature of Internal Guide

Sneha

Appendices

Appendix B-Google Form Questions

Section 1 of 2

Customer trust on COD vs Prepaid orders

Form description

This form is automatically collecting emails from all respondents. Change settings

Email ID

Short answer text

Name

Short answer text

Gender

- Male
- Female
- Other:

Education level *

- Student
- Jr.college
- Graduate
- Post graduate

After section 1 Continue to next section

Section 2 of 2

Here is a Question...?

Description (optional)

How often do you shop online...?

- Rarely
- Sometimes
- Frequently
- Very frequently

What are your main reasons for choosing COD..?

- Fare of online frauds and scams
- Uncertainty about product quality
- Lack of digital payment options
- Habits/convience

How much do you trust prepaid orders compared to COD...?

- Trust prepaid much more
- Trust prepaid slightly more
- Same trust level
- Trust prepaid less

Which mode of payment do you usually prefer...?

- ◯ Cash on delivery (COD)
- ◯ Prepaid (UPI, NetBanking ,credit, debit card)
- ◯ Both depending upon situation

How much do you trust on COD orders compared to prepaid orders...?

- ◯ Trust COD much more
- ◯ Trust COD slightly more
- ◯ Same trust level
- ◯ Trust COD less

What encourages you to choose prepaid orders....?

- ◯ Discount / cashback offers
- ◯ Faster delivery option
- ◯ Convenience of not keeping cash ready
- ◯ Extra trust in Big brands

Have you ever faced issues with prepaid orders..?

- ◯ Sometimes
- ◯ Maybe
- ◯ Rarely
- ◯ Yes,often

Which payment method do you trust more overall...?

- ◯ COD
- ◯ Prepaid
- ◯ Both equally
- ◯ Neither

If COD was removed as an option, would you still shop online from the same platform...?

- ◯ Yes, without issue
- ◯ Yes,but less frequently
- ◯ No,i would reduce /stop shopping

What would increase your trust in cash on delivery...?

Short answer text

What would increase your trust in prepaid orders...?

Short answer text

Appendix C- Sample Data (Excel Table)

Sr No.	Timestamp	Username	What's your name?
1.	2025/09/14 1:11:47 pm GMT+5:30	Ramyanalla822@gmail.com	Nalla ramya
2.	2025/09/14 1:24:40 pm GMT+5:30	Sagarsunki656@gmail.com	Sunki sagar
3.	2025/09/14 3:52:03 pm GMT+5:30	Vaishnavigaddam367@gmail.com	Vaishnavi gaddam
4.	2025/09/14 4:06:12 pm GMT+5:30	Pogulashiva200@gmail.com	shiva
5.	2025/09/14 4:21:34 pm GMT+5:30	Hansikagond6@gmail.com	Hansika gond
6.	2025/09/14 5:22:09 pm GMT+5:30	patilriddhi@gmail.com	Riddhi patil
7.	2025/09/14 5:57:00 pm GMT+5:30	Esakkidoss32@gmail.com	Indu nadar
8.	2025/09/14 6:33:51 pm GMT+5:30	shashikantsunka@gmail.com	Shashikant sunka
9.	2025/09/14 6:44:27 pm GMT+5:30	Archigudhka9@gmail.com	Archi gudhka
10.	2025/09/14 7:07:35 pm GMT+5:30	Priyanshumishraagust2008@gmail.com	Mishra priyanka
11.	2025/09/14 8:17:02 pm GMT+5:30	nakummeena@gmail.com	Jiya nakum
12.	2025/09/14 8:55:30 pm GMT+5:30	Sonalimali421@gmail.com	Sonali ashok mali
13.	2025/09/14 8:58:17 pm GMT+5:30	Pekta4387@gmail.com	Ekta pandey
14.	2025/09/14 10:13:04 pm GMT+5:30	kajalpatel@gmail.com	Kajal patel
15.	2025/09/14 11:28:47 pm GMT+5:30	eppakayalvimal@gmail.com	Vimal eppakayala
16.	2025/09/14 11:30:14 pm GMT+5:30	bhavanayellarapu@gmail.com	Yellarapu bhavana
17.	2025/09/15 7:59:25 am GMT+5:30	yelgamp@gmail.com	Yelgam Pallavi pandu
18.	2025/09/15 9:35:34 am GMT+5:30	dasarivarshita@gmail.com	Dasari varshita
19.	2025/09/15 11:22:10 am GMT+5:30	maheksingh@gmail.com	mahek

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20.	2025/09/15 11:23:25 am GMT+5:30	akhilgentyal@gmail.com	Akhil

STUDENT FEEDBACK ON FP

Student Name: Goli Sneha Naresh

Seat No. /Roll No: 11

Email: snehagoli@gmail.com

Department: Bachelor of science in information technology

Name of the Mentor: Ms. Ansari Nusrat

Title/Heading of Field Project: customer trust on cash on delivery vs prepaid orders.

Brief description of FP carried out: The field project focused on analyzing customer trust in cash-on-delivery versus prepaid orders, exploring factors influencing payment preferences, customer confidence, and buying behavior in e-commerce transactions.

Dates of FP:4th September 2025 to 29th September 2025.

Was your internship experience related to your major area of study?

- Yes, to a slight degree

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Indicate the degree to which you agree or disagree with the following statements.

This experience has:	Strongly Agree	Agree	No opinion	Disagree	Strongly Disagree
Given me the opportunity to explore acareer field		✓			
Allowed me to apply classroom theory to practice			✓		
Helped me develop my decision-making and problem-solving skills	✓				
Expanded my knowledge about the work world before permanent employment	✓				
Helped me develop my written and oral communication skills		✓			
Provided a chance to use leadership skills (influence others, develop ideas with others, stimulate decision-making and action)			✓		
Expanded my sensitivity to the ethical implications of the work involved				✓	
Made it possible for me to be more confident in new situations			✓		
Given me a chance to improve my interpersonal skills		✓			
Helped me learn to handle responsibility and use my time wisely			✓		
Helped me discover new aspects of myself that I didn't know existed before		✓			
Helped me develop new interests and abilities					✓
Helped me clarify my career goals		✓			
Allowed me to acquire information and/ or use equipment not available at my Institute	✓				

Sneha

Allowed me to realize socio-economic issues in the society	✓				

● In the Institute FP program, faculty members are expected to be mentors for students. Do you feel that your faculty mentor served such a function? Why or why not?

My faculty mentor provided invaluable guidance on academics, career development, and personal growth, offering consistent support and encouragement. Their mentorship greatly enhanced my learning experience and motivation throughout the program.

● How well were you able to accomplish the initial goals, tasks and new skills that were set down in your learning contract? In what ways were you able to take a new direction or expand beyond your contract? Why were some goals not accomplished adequately?

I was able to accomplish most of the initial goals and tasks outlined in my learning contract, gaining new skills and valuable experience. In some areas, I expanded beyond the contract by exploring additional topics and taking on new responsibilities. A few goals were not fully achieved due to time constraints and the evolving scope of the project, which shifted priorities during the program.

How well were you able to accomplish the initial goals, tasks, and new skills set in your learning contract?
I was able to accomplish most of the initial goals outlined in my learning contract with a high degree of success. I completed the required tasks on schedule and developed the core skills I intended to, such as [specific skills]. This progress was supported by consistent practice, research, and feedback from mentors or peers.

● In what areas did you most develop and improve?

I most developed and improved in critical thinking, research skills, and effective communication. Working closely with my mentor also enhanced my ability to analyze complex problems and present ideas more clearly and confidently.

● What has been the most significant accomplishment or satisfying moment of your FP?

The most significant accomplishment of my FP was successfully applying new concepts to a real-world problem, which deepened my understanding and boosted my confidence. This breakthrough moment was highly satisfying and reinforced my passion for the subject**.**

● What did you dislike about the FP?

The aspect I disliked about the FP was the occasional lack of clear guidance during some phases, which sometimes made it challenging to stay fully focused and aligned with the goals. More frequent check-ins could have helped improve this.

● Considering your overall experience, how would you rate this FP? (Circle one). –

Satisfactory/ Good/ Excellent

I most developed and improved in [specific skills or knowledge areas]. For example, I enhanced my ability to [problem-solve, communicate effectively, manage time, use a particular tool, etc.]. This growth was largely due to [specific experiences or tasks during the FP] that challenged me to step out of my comfort zone.

● Give suggestions as to how your FP experience could have been improved. (Could you have handled added responsibility? Would you have liked more discussions with your professor

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concerning your FP? Was closer supervision needed? Was more of an orientation required?) Signature of Student Name

My FP experience could have been improved with more structured discussions and feedback sessions with my professor to gain deeper insights. A brief orientation at the beginning would have also helped in setting clearer expectations and goals.

Signature of Student

Name: Ms.Goli Sneha naresh

Date:

Sneha